

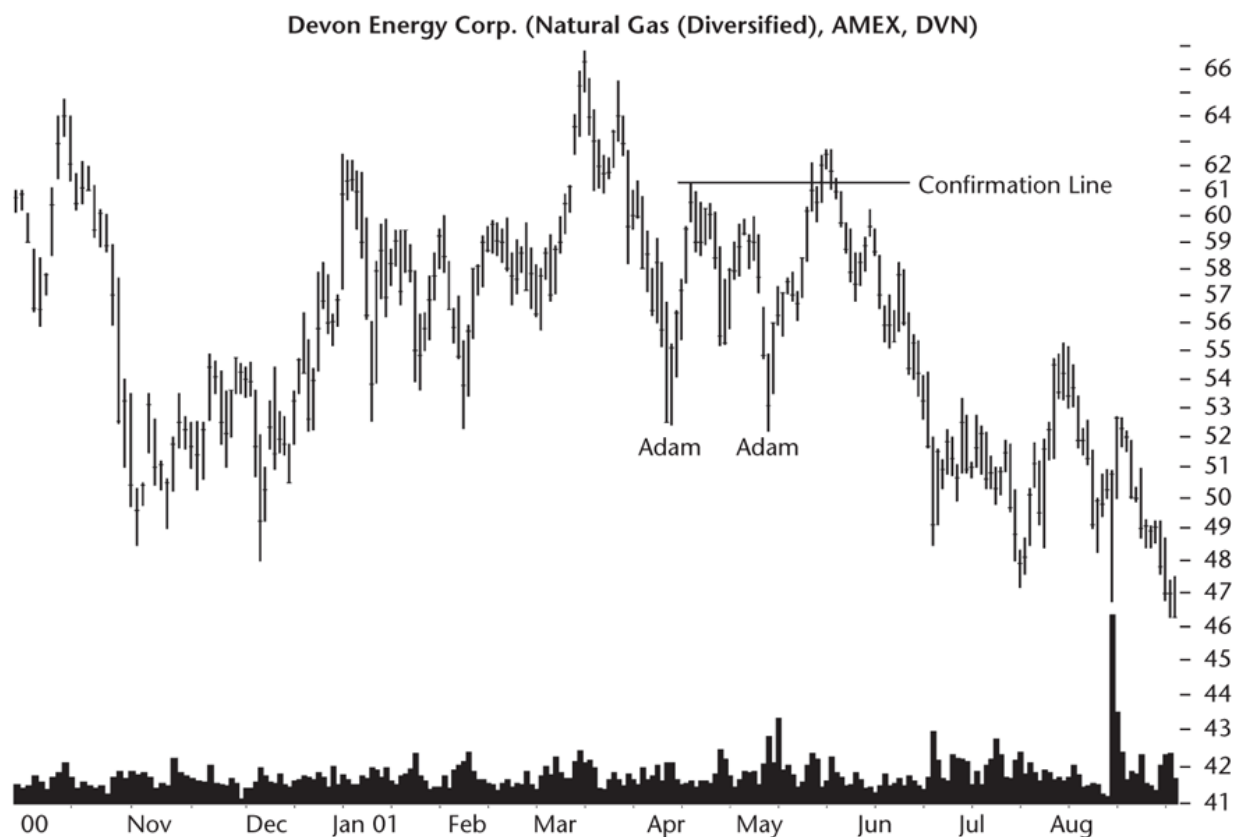


Figure 26.4 An Adam & Adam double bottom confirmed when price closed above the confirmation line, but price soon stalled. Overhead resistance (not shown) may have played a part, but other stocks in the industry were showing topping patterns.

Price climbs just 2% after the breakout. Why? The first clue is that the pattern is in a bear market, which is never good for bullish chart patterns.

The second clue is that there's not much of a downtrend to reverse. The downward price trend starts at the March peak (the highest on the chart), so it is not far above the confirmation line. In other words, the double bottom did not act as a reversal of the longer-term prevailing price trend, but as a consolidation.

If you extended the figure to the left, you would see a long line of peaks stretching to May 2000. That line represented a massive zone of overhead resistance that the double bottom could not penetrate. A check of other stocks in the diversified natural gas industry showed that most of them were peaking in May or June. They all started tumbling at the same time. They showed topping patterns that predominated (double tops and triple tops),